

GCE A LEVEL MARKING SCHEME

PREDICTED – MODERATE

A LEVEL

ECONOMICS – COMPONENT 1

A520U10-1 (Predicted – Moderate)

About this marking scheme

The purpose of this marking scheme is to provide teachers, learners and other interested parties with an understanding of the assessment criteria used to assess this specific assessment.

This marking scheme reflects the criteria by which candidates should be assessed. A list of indicative content suggests the range of economic concepts, theory, issues and arguments which might be included in learners' answers. It is not intended to be exhaustive and learners do not have to include all of the indicative content to reach the highest level of the mark scheme.

The level-based mark schemes sub-divide the total mark to allocate to individual assessment objectives. A mark will be awarded for each assessment objective targeted in the question, then totalled to give an overall mark for the question.

GENERAL MARKING GUIDANCE

Positive Marking

It should be remembered that learners are writing under examination conditions and credit should be given for what the learner writes, rather than adopting the approach of penalising for any omissions. It should be possible for a very good response to achieve full marks and a very poor one to achieve zero marks.

For each question there is a list of indicative content which suggests the range of economic concepts, theory, issues and arguments which might be included in learners' answers. This is not intended to be exhaustive and learners do not have to include all the indicative content to reach the highest level of the mark scheme.

GCE A LEVEL ECONOMICS – COMPONENT 1 (Predicted – Moderate)**SECTION A**

Q	Answer	AO
1	E	AO1
2	B	AO2
3	B	AO2
4	D	AO1
5	B	AO1
6	A	AO2
7	C	AO1
8	B	AO2
9	C	AO2
10	C	AO1
11	E	AO2
12	D	AO2
13	B	AO2
14	A	AO1
15	B	AO2
16	C	AO2
17	C	AO1
18	B	AO2
19	D	AO2
20	C	AO2

AO1: 8**AO2: 12**

SECTION B**21. Using the data, explain the link between the two charts. [4]**

Band	AO1	AO2	AO3
2			2 marks Good analysis A well-developed chain of reasoning links the changes in Sterling to the movement in the current account balance.
1	1 mark Limited knowledge Understanding of the exchange rate and/or current account is shown.	1 mark Limited application The data is referenced in the answer.	1 mark Limited analysis A chain of reasoning exists but is underdeveloped.
0	0 marks No valid knowledge shown.	0 marks No valid application.	0 marks No chains of reasoning are present.

Indicative content**AO1**

The effective exchange rate measures the value of Sterling against a basket of major trading partner currencies, weighted by trade volumes. The current account balance records trade in goods and services plus primary and secondary income flows.

AO2

The data shows Sterling depreciating from 100 (2015) to around 83–88 by 2022–2023 – an overall fall of over 10%. The current account deficit narrows from –5.4% (2016) to around –2.0% (2023) over the same period, though not consistently.

AO3

A weaker pound makes UK exports relatively cheaper in foreign currency and imports relatively more expensive in Sterling. Assuming the Marshall-Lerner condition holds ($PED_x + PED_m > 1$), net exports should rise, improving the current account balance. A chain of reasoning: Sterling depreciation → exports more competitive / imports dearer → quantity of exports rises, imports falls → trade balance improves → current account deficit narrows.

Allow other relevant points.

22. Using the diagram, discuss whether the government should subsidise public transport services. [7]

Band	AO2	AO3	AO4
3			3 marks Excellent evaluation Clear, supported judgements are made about the desirability of subsidising public transport and about the limitations of relying on the diagram.
2	2 marks Good application The diagram is used effectively to support analysis and/or evaluation.	2 marks Good analysis Well-developed chain of reasoning about the need for subsidies given positive consumption externalities.	2 marks Good evaluation Clear counterarguments, using relevant theory, about the dangers or limitations of subsidies.
1	1 mark Limited application The diagram is referenced but only superficially.	1 mark Limited analysis A chain of reasoning exists but is less convincing.	1 mark Limited evaluation Counterarguments are present but are not fully developed.
0	0 marks No valid application.	0 marks No valid analysis.	0 marks No valid evaluation.

Indicative content**AO2**

The diagram shows that the free market equilibrium (where $MPC = MPB$) produces Q_1 . Because $MSB > MPB$, the social optimum is at Q_2 (where $MSC = MSB$). Without intervention, there is underconsumption equal to $Q_2 - Q_1$, and a welfare loss triangle between the two equilibria.

AO3

Public transport generates positive consumption externalities: reduced congestion, lower pollution, reduced road accidents, agglomeration benefits in cities, and improved access to employment. Individual consumers only consider private benefit, ignoring these external benefits. A subsidy equal to the MEB (marginal external benefit) will shift the MPC curve downwards / effective price faced by consumers downwards, increasing consumption to Q_2 and eliminating the welfare loss.

AO4

Counterarguments: subsidies have an opportunity cost in terms of forgone alternative government spending on health, education etc. They may be funded by distortionary taxation. Estimating the size of the externality is difficult – over-subsidisation risks government failure and overconsumption. Subsidies can reduce operators' incentives for efficiency, leading to X-inefficiency and quality decline. Distributional issues: wealthier urban commuters may disproportionately benefit. Regulation, road pricing or investment in infrastructure may achieve the same externality internalisation at lower cost. The diagram is a static model ignoring dynamic effects on innovation and service quality.

Allow other relevant points.

23. Use the data to explain where the Nash equilibrium lies in this matrix. [4]

Band	AO1 (1 mark)	AO2 (2 marks)	AO3 (1 mark)
2		2 marks Good application The matrix is used to show how each firm will be worse off if it deviates unilaterally from the equilibrium.	
1	1 mark Limited knowledge Answer shows a clear understanding of the concept of a Nash equilibrium.	1 mark Limited application The matrix data is used to identify an equilibrium.	1 mark Limited analysis A clear chain of reasoning is given about how the equilibrium is reached or why firms do not deviate.
0	0 marks No valid knowledge shown.	0 marks No valid application.	0 marks No chains of reasoning are present.

Indicative content**AO1**

A Nash equilibrium occurs at a combination of strategies where no player can gain by unilaterally deviating from their existing strategy. It is associated with game theory, where each participant is pursuing their best possible strategy given the strategies of others.

AO2 / AO3

In this matrix the Nash equilibrium is (Advertise, Advertise) yielding (£30m, £30m). Testing: if Alpha is advertising, Beta's options are £30m (Advertise) or £20m (Don't) – so Beta chooses Advertise. If Beta is advertising, Alpha's options are £30m (Advertise) or £20m (Don't) – so Alpha chooses Advertise. At (Advertise, Advertise) neither firm can profitably deviate.

Note that (Don't, Don't) would yield £45m each – a better joint outcome – but it is not a Nash equilibrium because either firm can unilaterally deviate to earn £60m. The outcome is a classic prisoners' dilemma: individual rationality produces a collectively suboptimal result. Lack of trust and communication lead firms to choose their dominant strategy.

Allow other relevant points.

24. Using the data, discuss whether such a fiscal stimulus will raise the UK's rate of economic growth. [8]

Band	AO2	AO3	AO4
3		3 marks Excellent analysis The link between the fiscal stimulus and economic growth is covered with detailed chains of reasoning including the multiplier and AD/AS.	3 marks Excellent evaluation Clear supported judgements are made about the likely effectiveness of fiscal stimulus.
2	2 marks Good application The data is used effectively to support the analysis or evaluation.	2 marks Good analysis Developed chains of reasoning link the fiscal stimulus to higher AD and growth.	2 marks Good evaluation Clear counterarguments showing fiscal stimulus may not raise growth.
1	1 mark Limited application The data is referenced superficially.	1 mark Limited analysis A chain of reasoning is present but underdeveloped.	1 mark Limited evaluation Counterarguments are present but superficial.
0	0 marks No valid application.	0 marks No valid analysis.	0 marks No valid evaluation.

Indicative content**AO2**

The data shows real GDP growth slowing to 0.1% (2023) and 0.4% (2024), well below trend (~1.5–2%). Unemployment has drifted up from 3.7% to 4.4%. A 2% negative output gap suggests spare capacity in the economy. A £30bn stimulus is roughly 1% of UK GDP.

AO3

$AD = C + I + G + (X - M)$. Rising G directly increases AD . Additional rounds of spending via the multiplier process ($k = 1/(1-MPC)$ in a simple model, or $1/MPW$ in a more complete one) further amplify the effect. Public infrastructure raises real GDP in the short run via increased demand, and in the long run via higher productive capacity (LRAS shifts right). With spare capacity, rising AD will mainly raise real output with limited inflationary pressure, moving the economy back towards trend growth.

AO4

Counterarguments: (i) Time lags – infrastructure spending takes years to plan and deliver; the stimulus may arrive after the output gap has closed naturally. (ii) Crowding out – if financed by borrowing, higher gilt yields may raise interest rates, reducing private investment. (iii) Crowding out is less likely when interest rates are low and there is significant spare capacity. (iv) Size of the multiplier is uncertain and historically low in the UK (0.5–1.2). (v) Higher debt-to-GDP ratio may require future tax rises, depressing future AD . (vi) Supply-side constraints – skills shortages in construction may bid up wages/materials, causing cost-push pressures rather than real growth. (vii) Leakages from imports reduce domestic multiplier effect. (viii) Whether growth is raised depends also on exchange rate, monetary policy stance, and global conditions. Overall, the stimulus is likely to boost growth in the short run, but its magnitude and sustainability are uncertain.

Allow other relevant points.

25. Discuss whether it is reasonable to conclude that Vietnam has a higher level of human development than Botswana. [8]

Band	AO2	AO3	AO4
3		3 marks Excellent analysis A well-developed chain of reasoning clearly explains why one country has higher human development.	3 marks Excellent evaluation Clear judgements are made about which country has higher human development, or why this is not possible to tell.
2	2 marks Good application Data is used effectively to support argument.	2 marks Good analysis Developed chain of reasoning explaining higher human development in one country.	2 marks Good evaluation Developed counterarguments present the opposing case.
1	1 mark Limited application Data referenced but use is superficial.	1 mark Limited analysis Some explanation given but arguments underdeveloped.	1 mark Limited evaluation Counterarguments superficial or unconvincing.
0	0 marks No valid application.	0 marks No valid analysis.	0 marks No valid evaluation.

Indicative content**AO2****Case FOR Vietnam having higher human development:**

Higher HDI (0.726 vs 0.708) – on the composite index itself, Vietnam scores higher. Substantially higher life expectancy (73.7 vs 61.1) – over 12 extra years of life expectancy suggests major differences in health outcomes, healthcare systems or disease burden (Botswana has historically suffered high HIV/AIDS prevalence). Slightly higher expected years of schooling (13.1 vs 12.2) indicating a stronger education system for current pupils. Both classified 'High' HDI.

Case FOR Botswana having higher human development:

GNI/capita (PPP\$) is substantially higher in Botswana (\$16,780 vs \$11,397) – almost 50% higher. This affords higher private consumption of goods and services and greater government revenue for public services. Higher mean years of schooling (9.9 vs 8.4) – reflects historical investment in education.

AO3

Development is about improvements in well-being and quality of life, not just income. Chains of reasoning should examine how each variable in the table contributes to welfare: GNI enables private consumption (food, housing, leisure) and government provision; life expectancy captures health outcomes including child mortality and nutrition; schooling (both mean and expected) captures human capital accumulation. The HDI geometric-means these three dimensions, so a single low dimension can dramatically reduce overall HDI (Botswana's life expectancy drags its HDI down despite higher income).

AO4

Evaluation: (i) Evidence is mixed – Vietnam better on life expectancy and HDI; Botswana better on income and mean schooling. (ii) The two countries' HDIs (0.726 vs 0.708) are very close and the 'high' threshold is arbitrary; both sit just above 0.7. (iii) HDI is a narrow measure – it excludes inequality, poverty depth, gender gaps, environmental sustainability, political freedoms, governance quality. Indicators such as the Inequality-adjusted HDI (IHDI), Multidimensional Poverty Index, or Gini coefficient could give a fuller picture. (iv) Vietnam's lower income means more people may live near subsistence despite higher life expectancy. (v) The Sen/capabilities approach suggests development is about real freedoms to achieve valuable outcomes – this requires additional data. (vi) Time dimension matters: Vietnam has grown rapidly from a low base, while Botswana has been recovering from HIV/AIDS impacts. Overall, while Vietnam scores higher on the HDI, declaring its development level 'higher' is a simplification; a complete judgement requires more data.

Allow other relevant points.

26. Using supply and demand diagram(s), discuss whether the data suggests that coffee prices are more likely to rise or fall in the future. [9]

Band	AO1	AO2	AO3 / AO4
3			3 marks (AO4) Well-reasoned supported judgement as to the most likely direction of coffee prices, or clear explanation of why the direction cannot be determined.
2	2 marks Accurate supply and demand diagrams are used to illustrate both sides of the argument.	2 marks Effective use of the data on both sides of the argument.	2 marks (AO3) Developed analysis of one side (rising or falling prices). 2 marks (AO4) Developed counterargument for the other side.
1	1 mark Diagrams are present but have inaccuracies or cover only one side of the debate.	1 mark Effective use of data on one side of the argument only.	1 mark (AO3) Link between factors and coffee prices but the chain is underdeveloped. 1 mark (AO4) Counterargument present but not well developed.
0	0 marks No understanding / diagram absent or entirely wrong.	0 marks No valid application.	0 marks No valid analysis or evaluation.

Indicative content

AO1

Two supply-and-demand diagrams expected. Rising prices diagram: D shifts right (rising demand from China, India) and/or S shifts left (drought in Brazil, higher production costs); new equilibrium at higher P and uncertain Q. Falling prices diagram: D shifts left (global slowdown) and/or S shifts right (robusta expansion); new equilibrium at lower P.

AO2

Factors pushing prices UP:

Severe droughts in Brazil reducing output – world's largest producer losing up to 30% of crop shifts supply curve left. Rising demand from emerging markets (China, India) as incomes rise – coffee is a normal good so $YED > 0$ drives the demand curve right. Climate change threatening long-run arabica yields.

Factors pushing prices DOWN:

Expanding robusta production in Vietnam increases supply of substitute, which via the substitution effect pulls down demand for arabica. Willingness to substitute indicates $XED > 0$. Global slowdown reduces incomes and demand from cafés / food service.

AO3

Developed chain for rising prices: drought in Brazil reduces yields → supply curve shifts left → at the old price there is excess demand → price bid up until new equilibrium reached with higher P and

lower Q. Simultaneously rising incomes in emerging markets shift demand right, reinforcing upward price pressure.

AO4

Counter and overall judgement: Robusta expansion and possible recession could offset the upward pressures, at least partially. Arabica and robusta are imperfect substitutes – high-end consumers may not accept robusta, limiting the downward pressure on arabica price. The chart shows prices already recovering from ~165 cents (Dec 2022) to ~225 cents (Jun 2024) – market may already be pricing in structural factors. Time horizon matters: short-run drought effects eventually reverse as trees recover, but climate change is a long-run negative supply shock. PES is low in the short run because coffee trees take 3–5 years to mature, making supply responses slow and price volatility high. Overall, net pressure appears to be upward, especially in the long run, but significant uncertainty remains.

Allow other relevant points.

AO Grid

	AO1	AO2	AO3	AO4	Total
Q1–20	8	12			20
Q21	1	1	2		4
Q22		2	2	3	7
Q23	1	2	1		4
Q24		2	3	3	8
Q25		2	3	3	8
Q26	2	2	2	3	9
Total	12	23	13	12	60